EQUITY RESEARCH · COMPANY DEEP DIVE

AbbVie Inc. (ABBV.US)

Healthcare · Drug Manufacturers - General

Large Cap (>$200B) · Report Date: October 26, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-10-26

BUY

Composite · Valuation: OVERWEIGHT

Target $357.83 · +24.9% upside

Price $286.46

INVESTMENT HIGHLIGHTS

- **OVERWEIGHT** — blended target $357.83 (+24.9% vs $286.46); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; positive fcf generation
- Moderate revenue expansion (10.2% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	OVERWEIGHT	Blended PT $357.83	45%
FSA	Stable	Health -0.20 · Stable	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.65 · 12m +29%	15%
Composite	BUY	Score +0.57 · 75% confluence	—

Valuation + technical aligned bullish.

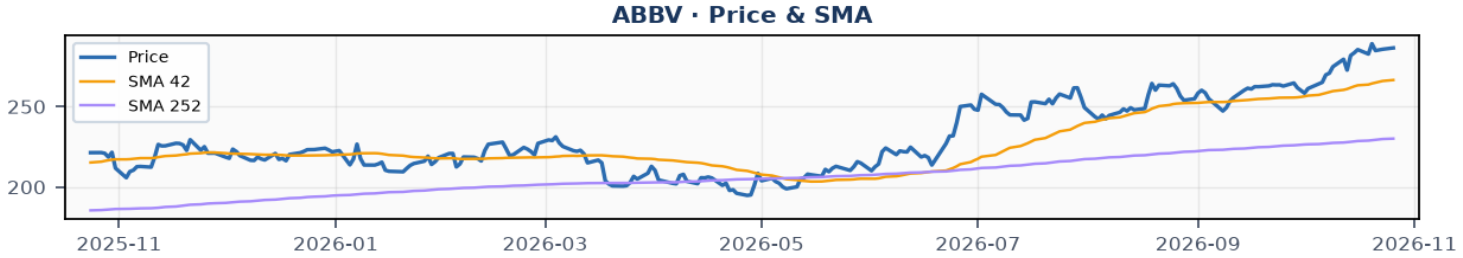
INVESTMENT THESIS / EXECUTIVE SUMMARY

AbbVie Inc. (ABBV) — Healthcare. AbbVie Inc., a research-based biopharmaceutical company, engages in the research and development, manufacturing, commercializing, and sale of medicines and... **OVERWEIGHT** rating; blended target $357.83. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	$506.21B	Shares Out.	1767.1M
52-Week Range	$190.75 – $291.40	P/E (TTM)	80.9x
P/B	-85.3x	Beta	0.23
Avg Volume	4.87M	Analyst Rec.	Buy
Revenue (TTM)	$64.39B	Rev Growth	+10.2%
Op. Margin	40.0%	FCF (TTM)	$17.82B
Gross Margin	72.8%	ROE	N/A
EV/EBITDA	18.5x	Debt/Equity	N/A
EPS (TTM)	$3.54	Div Yield	2.4%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue ($M)	56,334	61,160	67,398	72,716	77,278
Revenue Growth (%)	N/A	8.6%	10.2%	7.9%	6.3%
Net Income ($M)	4,278	4,226	4,657	5,024	5,340
Gross Margin (%)	70.0%	70.2%	72.8%	72.8%	72.8%
Net Margin (%)	7.6%	6.9%	6.9%	6.9%	6.9%
EPS ($)	2.42	2.39	2.64	2.84	3.02
P/E (x)	118.33	119.78	108.70	100.75	94.80

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	$266.51	Short-term trend	**12m Momentum**	+29.4%	
SMA (252d)	$230.09	Long-term trend	**3m Momentum**	+9.5%	
RSI (14d)	71.9	Momentum oscillator	**Ann. Volatility**	23.4%	
Trend	Bullish		**Sharpe Ratio**	0.93	Rf=4%
Golden Cross (20d)	No		**Max Drawdown**	-21.9%	
Death Cross (20d)	No		**Rel. Strength vs SPY**	+133.0%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; RSI 72 — overbought zone	**Quant Score**	+0.65	POSITIVE
			SMA Backtest (ann.)	12.6%	B&H; 21.9%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	$240.28	-16.1%	32%	Included in blend
Comps — Blended	$449.47	+56.9%	53%	Included in blend
Analyst consensus	$284.79	-0.6%	15%	Included in blend
Blended target	$357.83	+24.9%	100%	DCF 32% + Comps 53% + Analyst 15%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
7.50%	2.50%	5.10%	$424.61B	$240.28	-16.1%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	$346.40B	113.2x	14.0x	4.8%	+5.1%
PFE	Pfizer, Inc.	$169.51B	39.1x	8.8x	6.8%	+2.6%
JNJ	Johnson & Johnson	$640.59B	40.4x	19.2x	16.2%	+5.9%
BMY	Bristol-Myers Squibb C	$125.20B	13.5x	8.4x	18.9%	+5.7%
ABBV*	AbbVie Inc.	$506.21B	80.9x	18.5x	9.8%	+10.2%

* Subject company. Commands premium p/e vs peers; below-peer profitability. Trends: Moderate revenue expansion (10.2% YoY); High operating leverage (40.0% margin); Defensive profile (β=0.23) · Risks: Premium valuation (P/E: 80.9x) Strong revenue growth; high operating margins; positive fcf generation. Source: Yahoo Finance. Not investment advice.